
POLAND
2010

1. Overview of the tax-benefit system

Unemployed persons receive benefits in a fixed amount for a period from 6 to 12 months. In cases provided for in the law (and in special cases after the loss of the unemployment benefit) they may receive social assistance benefits (income related) - facultative temporary benefits (5-6 months). Besides, social assistance plays a role of the “last resort benefit”. Housing allowances function outside the social assistance system and require fulfilment of income criterion. The income criterion also applies in the case of family and maternity benefits.

The tax system allows for joint taxation of spouses, and in the case of single parents – joint taxation with the child.

As concerns social benefits, only pension benefits (retirement and disability pensions) and unemployment benefits (as well as pre-retirement allowances and bridging benefits) are taxable.

1.1. Average worker wage (AW)

The 2010 AW level is PLN 36 121.

2. Unemployment insurance

2.1 Conditions for receipt

The right to unemployment benefit is granted to a registered unemployed person who (among others):

- is able and ready to take up employment on a full time basis, according to the working time rate applied in a given occupation or service,
- has reached the age of 18 years and has not reached the retirement age (60 years for women and 65 years for men),
- who do not owe or possess of an agricultural estate, with arable land exceeding the area of 2 conversion hectares,
- do not receive monthly income in the amount exceeding 50 percent of the minimum remuneration (excluding income from interest rates or income from savings on bank accounts),
- is not a recipient of permanent allowance or permanent compensatory allowance, guaranteed temporary allowance, training benefit, nursing benefit, supplement to family benefit on the basis of the social assistance legislation.

2.1.1 *Employment conditions*

The right to the benefit is granted to the unemployed person after the lapse of 7 days from a day of registration in an appropriate district (*powiat*) labour office, if there are no proposals of suitable employment, no referral to subsidized job, apprenticeship, on-the-job-training. The person during the period of 18 months preceding the day of registration should be employed for a period of at least 365 days or perform other profitable tasks and reach remuneration that equals to at least of the minimum remuneration and from which the contribution to the Labour Found had been paid.

The right to unemployment benefit shall not be granted if (among others):

- the unemployed refused without a justified reason a proposal of employment, training, on-the-job-training or subsidized work,
- within the period of 6 months preceding the registration, the employment contract has been terminated with notice or on a basis of an agreement with the employer unless the agreement of both parties had been caused by: bankruptcy or liquidation of the employer or by employment cut-offs for employer-related reasons or by the change of the place of residence,
- within the period of 6 months preceding the registration the employment contract has been terminated without the notice for the employee reasons.

There are no job-search conditions for becoming and remaining entitled to unemployment benefits apart from:

- being registered as unemployed,
- obligation to report to the district (*powiat*) labour office at designated dates to confirm readiness to take up employment and to receive information on employment and training opportunities,
- accepting job offers proposed by the district (*powiat*) labour office.

The entitlement to the unemployment benefit is deprived when the entitled person:

- has not reported to the district (*powiat*) labour office at a designated date and has not informed within 7 days on a justified reason for his/her absence, deprivation of the status of an unemployed shall be valid for the period of 3 months as of the designated date of reporting to the district (*powiat*) labour office
- has refused the job offer or ALMP offer without justified reason or to undergo medical or psychological examination assessing the ability to work; deprivation of the status of an unemployed shall be valid for 120 days as of the date of refusal in case of first refusal, 180 in case of second one, and 270 in case of third or another one;
- has applied for deprivation of the status of unemployment.

There are possibilities to re-apply for benefits once they have expired, provided that the conditions concerning the benefit eligibility period (defined above) are fulfilled. According to district (*powiat*) labour office experience it is common that the unemployed re-apply for benefits as soon as they acquire the right to do it, but unfortunately there are no detailed data describing this process (there are data concerning the persons who were registered as unemployed for at least second time from 1990 - in 2010 78.5 % of inflow to RU were people registered for the second or more time. Among them 20.9% were entitled to UB, compared to 19.9% of unemployed registered for the first time)..

2.1.2 *Contribution conditions*

Contribution to the Labour Found is paid by the employer. The contribution equals 2.45 percent of the basis for the social security contributions.

2.2 Calculation of benefit amount

2.2.1 *Calculation of gross benefit*

In 2008 unemployment benefits were subject to indexation by consumer prices growth index in previous year. The monthly level of unemployment benefit in recent years amounted to:

- From 1 September 2001 to 31 August 2002 – PLN 476.70.
- From 1 September 2002 to 31 August 2003 – PLN 498.20.
- From 1 September 2003 to 28 February 2004 – PLN 503.20.
- From 1 March 2004 to 31 May 2005 – PLN 504.20.
- From 1 June 2005 to 31 May 2006 – PLN 521.90.
- From 1 June 2006 to 31 May 2007 – PLN 532.90.
- From 1 June 2007 to 31 May 2008 – PLN 538.30.
- From 1 June 2008 – PLN 551.80.
- From 1 June 2009 – 575.00 (to 1 January 2010).
- From 1 January 2010 – 717 PLN in first three months of UB collection, 563 PLN - afterwards.
- From 1 June 2010 – 742,1 PLN in first three months of UB collection, 582,7 PLN - afterwards.

Additionally the benefits are adjusted according to the length of the unemployment benefit eligibility period:

- persons having less then 5 years of unemployment benefit eligibility period receive 80 per cent of benefit,
- persons having from 5 to 20 years of unemployment benefit eligibility period receive 100 per cent of benefit,
- persons having more then 20 years of unemployment benefit eligibility period receive 120 per cent of benefit.

2.2.2 *Income and earnings disregards*

The unemployed person entitled to the unemployment benefit cannot receive monthly income in the amount exceeding the 50 percent of the minimum gross remuneration (excluding income from interest rates or income from savings on bank accounts). From the 1st of January 2010 the average minimum gross remuneration equals to PLN 1317.00 per month (in 2009 the average minimum pay gross is PLN 1276.00 per month).

2.3 *Tax treatment of benefit and interaction with other benefits*

Taxation rate is 18 per cent of gross benefit.

Yearly benefit = gross benefit – income tax – health insurance

Where:

income tax = (gross benefit * 18% - 556.02) – gross benefit * 7,75% - the income tax cannot be lower than 0, if the result of the deduction is negative number then it is assumed that income tax equals 0

health insurance = gross benefit * 9%

In the case of unemployed persons the taxable income and gross income (unemployment benefit) have the same value. The old-age pension insurance and disability pension insurance contributions are covered by the Public Employment Service.

Please see conventions described in point 10.1.

2.4 ***Benefit duration***

The right to the benefit is granted to the unemployed person after the lapse of 7 days from a day of registration in an appropriate district (*powiat*) labour office. The period of receiving the benefit is as follows:

- 6 months – in case of the unemployed who during the period of receiving the benefit, reside in the territory of competence of a district (*powiat*) labour office, if the unemployment rate in this territory on the 30th June of the year preceding the date of acquiring the right to benefit did not exceed 150% of the national average unemployment rate.
- 12 months - in case of the unemployed who during the period of receiving the benefit, reside in the territory of competence of a district (*powiat*) labour office, if the unemployment rate in this territory on the 30th June of the year preceding the date of acquiring the right to benefit exceeded 150% of the national average unemployment rate or in case of the unemployed at the age 50 or more who have at least 20 years of unemployment benefit eligibility period, or in case of the unemployed who have at least one dependent child at the age of 15 years or less and the spouse of the unemployed person is also unemployed and forfeited the right to benefit because of expiry of the a period of receiving benefit. (***note: for calculations, this is assumed to be the most general case.***)
 - From 2010 the unemployment benefit is paid at a higher rate for the first three months and after then decreases to an amount similar to that observed in previous years.

2.5 ***Treatment of particular groups***

The Act on Employment Promotion and Labour Market Institutions defines six groups of people at the special situation on the labour market (changes in force from 26th of October 2007)

- young persons (aged 25 or less),
- long term unemployed (the unemployed spell exceeds 12 months within last 2 years) or unemployed after finishing participation in a social contract or women who did not take up employment after giving birth to a child,
- persons aged over 50,
- low-skilled unemployed, without professional experience or upper-secondary education,
- lone parents with a children aged up to 18 years of age,
- unemployed who after imprisonment do not take up work,
- people with disabilities.

The unemployed who belong to these groups should receive either a job vacancy or other work possibility, an internship, on-the-job training, public work or subsidized work during the first 6 months of

unemployment (or in case of long term unemployed – during the period of 6 months following the day of the termination of eligibility to unemployment benefit).

2.5.1 *Young persons*

Since 1st of January 2010 there are no specific measure targeted at young unemployed. They can participate in all ALMP offered by local labour office. However, in case of apprenticeship the duration of this measure may be longer than in case of other unemployed i.e. 12 months compared to 6 months. This rule also applies to unemployed up to 27 years of age within a year after graduation of tertiary education.

Young unemployed cannot be placed to public works however there is a possibility to direct them to a work, on a basis of regulations concerning public works, to perform work that is not connected with the qualifications they obtained during education. This work is a part-time work, i.e. may not exceed 50% of full time basis work and it lasts up to 6 month

Young unemployed receive scholarships due to participation in ALMP on a regular basis.

2.5.2 *Older workers*

As of 1 August 2004 the responsibility for pre-retirement benefits and pre-retirement allowances (also in case of granting and payment of these benefits) was transferred from local labour offices to the Social Insurance Institution¹. The pre-retirement allowance can be granted to a person who had lost his/her job, who was registered as unemployed for at least 6 months and was receiving the unemployment benefit (for at least 6 months) and who:

- is at least 56 (women) or 61 (men) years old and has insurance record to receive an old-age pension of at least 20 or 25 years respectively who was employed for more than 6 months by the last employer and his employment contract was terminated due to liquidation of the employer or it's insolvency or;
- is at least 55 (women) or 60 (men) years old and has insurance record to receive an old-age pension of at least 30 or 35 years respectively who was employed for more than 6 months by the last employer and his employment contract was terminated due to difficulties of their employer;
- is at least 56 (women) or 61 (men) years old and has insurance record to receive an old-age pension of at least 20 or 25 years respectively and who runs his own company and paid social security contributions without any break for at least 24 months before he/she declared bankruptcy;
- has lost the entitlement to disability pension (that was previously granted for more than 5 years) and within 30 days registered in local PES as unemployed and who was at least 55 (women) or 60 (men) years old at the day of lost the entitlement and has insurance record to receive an old-age pension of at least respectively 20 or 25 yeas;
- has insurance record to receive an old-age pension of at least respectively 35 or 40 yeas and was employed for more than 6 months by the last employer and his/hers employment contract was terminated due to difficulties of their employer;
- has insurance record to receive an old-age pension of at least respectively 34 or 39 yeas and was employed for more than 6 months by the last employer and his/hers employment contract was terminated due to liquidation of the employer or it's insolvency.

The pre-retirement allowance is granted if he/she meets all of the following requirements:

¹ Act of Law of 30th of April 2004 on pre-retirement benefits (Journal of Laws No. 120 item 1252).

- is still registered as the unemployed person,
- within the period of receiving the unemployment benefit did not refuse without justified reason a proposal of suitable employment or other gainful work or subsidised jobs and public works,
- fills an application for the pre-retirement benefit within 30 days from the day of issue by the district labour office a document certifying the 6-month period of receiving the unemployment benefit.

As from 1 August 2004 the benefit amounts to PLN 670 and will be subject to indexation. The benefit together with additional income may not exceed a half of average monthly remuneration from the previous year proclaimed by the President of the Central Statistical Office, and additional income may not be higher than 70% of this remuneration. The pre-retirement allowance amounts to:

- PLN 670.00 – 1 August 2004 – 28 February 2006,
- PLN 711.54 – 1 March 2006 – 29 February 2008,
- PLN 757.79 – 1 March 2008 – 28 February 2009,
- PLN 804.02 – 1 March 2009 – 28 February 2010,
- PLN 841.17 – 1 March 2010.

Unemployed people aged 50 years and more can participate also in all active measures offered by local labour office and then receive benefits linked to this measures (i.e. trainings, vocational trainings, apprenticeship or start education in a school for adults).

2.5.3 *Unskilled workers*

The unskilled workers are defined as persons with educational attainment ISCED 1, ISCED 2 or ISCED 3C long (general upper-secondary schools – licea ogólnokształcące).

The low-skilled unemployed (i.e. without certified qualifications to perform any occupation) who take up education in the upper-secondary school for adults or who take up evening or extramural tertiary studies are granted scholarship amounting to 100 percent of the unemployment benefit for 12 months (from the date of beginning of the education). The scholarship may be prolonged until graduation. Scholarships are means-tested (family income criterion within social assistance legislation). The loss of the status of unemployed or discontinuation of education means also the loss of the eligibility to the scholarship. If a person takes up work during the education and continues it, the payment of the scholarship continues in amount of 20 percent of the UB.

Unskilled or low-skilled unemployed can participate also in other active labour market measures offered by local labour office and then receive benefits linked to this measures (i.e. trainings, vocational trainings, apprenticeship).

2.5.3 *Lone parents with children aged 18 years or less*

The act of employment promotion and labour market institutions does not concern intuitions responsible for childcare.

- **The costs of childcare (only in case of children aged 7 or less) when an unemployed takes up a work or is referred to vocational training or other training may be reimbursed. The reimbursement amounts up to 50 percent of the unemployment benefit, and is means-tested (family income criterion within social assistance legislation). It is paid for the period of 6 months.**

If the unemployed is referred to training or internship reimbursement can be obtained for the whole training period. Similarly the costs of care for other dependent members of the family may be reimbursed.

3. Unemployment assistance

None

4. Social assistance

4.1 Conditions for receipt

A. Benefits from social welfare system

General principles: to have insufficient means of living under income criteria (477 PLN single; 351 PLN family per capita) and to meet social criteria.

Income² criteria per capita -monthly (in PLN)

	From May 2004*
Single person family	461
At least two-persons Family	316
	From October 2006
	*
Single person family	477
At least two-persons Family	351

*income criteria hasn't changed since October 2006;

Social criteria:

Main criteria for permanent benefit: full inability to work because of age or disability, permanent illness;

Main criteria for temporary benefit: poverty, orphanage, homelessness, unemployment;

Other reasons for social benefit support are, family violence, need to protect motherhood and large families, inability to provide for the care of children or a household, especially in a large or incomplete families, difficulties in adjustment to life of youth raised in care and education centers, difficulties in integration of refugees, difficulties in adjusting to life upon the release from penal institutions, alcohol and drug addiction, natural ecological disaster, crisis situation.

Simultaneously the right to permanent or temporary allowance belongs only to specific kinds of beneficiaries. In other cases there is discretionary periodic assistance (cash). It concerns purpose benefits (e.g. for the coverage of costs of purchases of food, medicines and treatment, fuel, clothing, daily necessities, minor apartment and damage repairs or funeral costs).

B. Benefits from Social Insurance Institution – social pension

² Net income

Social pension are paid by the Social Insurance Institution³ to adult person due to inability to work that occurred in childhood (before 18 years old) or during studies.

4.2 Calculation of benefit amount

4.2.1 Calculation of gross benefit

A. Benefits from social welfare system

Permanent benefits

Permanent benefits – the level stated in the Act on Social Assistance and the level= family income criterion per capita – family income per capita,

Maximum benefit: 477 PLN monthly, minimum benefit = 30 PLN

Temporary benefits

Temporary benefits – the final level depends on discretionary administrative decision, might be less than maximum:

Maximum benefit = family income criterion per capita – family income per capita, but not more than 418 PLN monthly, minimum benefit = 20 PLN

In 2009 the minimum amounts of the temporary benefit was as follows:

- for a person keeping a single household – 35% of the difference between the criterion of income of a person keeping a single household and the income of that person
- for a family – 25% of the difference between the criterion of income of the family and the actual income of that family.

B. Benefits from Social Insurance Institution – social pension

The amount of social pension equals to 84% of minimum pension

Between October 2003 and February 2004 it was PLN 464,21 per month

Between March 2004 and February 2006 it was PLN 427,57 per month

From March 2006 the social pension was 501,87 PLN per month

From March 2008 to Feb 2009 the social pension was 534,48 PLN per month. From March 2009 to Feb 2010 the social pension was 567,08 PLN. Since March 2010 the social pension equals 593,28 PLN.

4.2.2 Income and earnings disregards

No disregards. Income test on net income.

³ Since October 2004, social pension was excluded from social welfare system.

4.3 Tax treatment of benefit

Not taxable.

4.4 Benefit duration

It depends on kind of benefit and of person's social situation.

Permanent – unlimited (no time limit stated in administrative decision) , temporary – benefit duration fixed according to the beneficiary situation and after the case examination by the local social assistance centre.

4.5 Treatment of particular groups

4.5.1 Young persons

None

4.5.2 Older workers

None

5. Housing benefits

5.1 Conditions for receipt

Housing benefits are paid by local authorities to the low income households (the housing benefits are paid to the owners of the houses, flats and tenant.). (<http://www.case-research.eu/dyn/plik--23753723.pdf>) A single person must have gross income under 175 per cent of the minimum retirement pension and families must have gross income equal to less than 125 per cent of the minimum retirement pension per capita. If the income exceeds these limits and the housing benefit is higher than the surplus of the income criteria the benefit is paid (than the housing benefit equals the difference between the income surplus and the achievable housing benefit).

Housing benefits are outside the social assistance system.

Income criteria (monthly, PLN)

	June 2002 – February 2003	March 2003 – February 2004	March 2004 – December 2004
Single household (160% minimum pension)	852,70	884,20	900,13
Per capita for family (110% minimum pension)	586,20	607,89	618,84

Reference date for all information is **July 1st 2010**

Country chapter for OECD series *Benefits and Wages* (www.oecd.org/els/social/workincentives)

	January 2005 – February 2006	March 2006 – February 2008	March 2008 – February 2009
Single household (175% minimum pension)	984,52	1045,60	1113,51
Per capita for family (125% minimum pension)	703,23	746,83	795,36

Income criteria (monthly, PLN)

	March 2009 – February 2010	From March 2010
Single household (175% minimum pension)	1181,43	1236,01
Per capita for family (125% minimum pension)	843,88	882,86

In 2009 the average housing benefit (for one flat) was equal to 162,1 PLN⁴. Since 01.09.2004 these benefits are in communes competence only.

5.2 Calculation of benefit amount

5.2.1 Calculation of gross benefit

Benefit is paid based on the difference between what is considered a reasonable payment for a family and actual housing costs. Housing costs cannot exceed a maximum amount, calculated based on the size of the family and the size of the flat.

The reasonable payment for a house is based on the size of the house, as follows:

- 35 m² – one person
- 40 m² – two people
- 45 m² – three people
- 55 m² – four people
- 65 m² – five people

⁴ Data of the Polish Central Statistical Office

- 70 m² – six people
- each additional person – 5 m²

The area of the house cannot exceed these limits by more than 30%. To calculate the expected housing costs, calculate the cost per square meter of the house, and then multiply this cost per metre by the expected house size. As an example, a single person in a 36m² house paying 360 per month would have a cost per metre of PLN 10. PLN 10 times the expected house size (35m²) gives us an expected housing cost of PLN 350.

The household has to cover the housing expenses up to:

- 15% of household income – in case of single person households
- 12% of household income – 2 – 4 person households
- 10% of household income – 5 and more person households

Thus if in the above example the individual earns PLN 1000 they would be expected to pay 15% of 1000, or PLN 150. The housing benefit would thus be the expected housing cost (PLN 350) minus their expected contribution (PLN 150), or PLN 200.

5.2.2 *Income and earnings disregards*

No disregards

5.3 *Tax treatment of benefit and interaction with other benefits*

Not taxable.

5.4 *Treatment of particular groups*

None.

6. **Family benefits**

6.1 *Conditions for receipt*

The claimant must have a dependent child aged under 18, or under 21 if still in education, or 24 if disabled and still in education.

6.2 *Calculation of benefit amount*

6.2.1 *Calculation of gross benefit*

Family benefits – means tested:

Since 1.11.2009, the family allowance amount depends of the child age and accounts:

- PLN 68 monthly for a child until the child will reach 5 years of age,
- PLN 91 monthly for a child in the age of 5 up to 18 years,
- PLN 98 monthly for a child in the age of 18 up to 24 years.

Within family benefits there are following supplementary benefits available:

1. Birth supplement – PLN 1000 per child, one-off payment since 01.01.2006 (till 31.12.2005 PLN 500).
2. Child care supplement in the time of parental leave – PLN 400 – per month (for max 24 months).
3. Supplementary allowance for single parent which are no longer entitled to unemployment benefits – PLN 400 – per month only for these, who received the right before 1.09.2005 (paid max 3 years for children aged up to 7).⁵
4. Supplementary allowance for single parents – PLN 170 – per child per month, to a maximum of PLN 340 per month. Lone parents with disabled children can receive PLN 250 per disabled child per month⁶
5. Supplementary allowance on education and rehabilitation of disabled children – PLN 60 per month per child aged up to 5 and PLN 80 – per child aged 6-24.
6. Supplementary allowance for raising child in large family (3 children and more) – for third and next child – 80PLN per child per month.
7. Supplementary allowance at beginning of the school – PLN 100 - one-off payment per each grade
8. Supplementary allowance on children that are taking up education in schools outside the area of living – PLN 90 – per child per month (if child lives in boarding-school), or 50 PLN – per child per month (if child needs to travel to school). The allowance is available for 10 months of school year from September to June

Within family benefits there are following supplementary benefits available that are **not** means tested (since 01.01.2006):

- Birth supplement – PLN 1000 per child, one-off payment.
- Possibility for extra birth supplement paying by the commune (gmina).

Single parents – benefits from the maintenance fund

⁵ Since September 1st 2005 the benefit is no more permitted.

⁶ It is not allowed to profit from both benefits described in the no 3&4 at the same time.

- Benefits from the maintenance fund⁷ is granted to a child or single parents, in case the family net income per capita does not exceed PLN 725 (since October 2008) (is granted to a child until 18 years of age or 24 if is still studying at school or collage/university. The benefit equals an amount of alimony awarded (by court) but it can't exceed PLN 500 per month. While the proper authorities are engaged to recover the duties from the parent which is obligated to pay the alimony as to the court decision but does not meet this requirement.

It is not allowed to combine the supplementary allowance for single parents and the benefits from maintenance fund. The first one is dedicated to single parents if the second of the parents is unknown, is dead or the maintenance are not been ordered by the court.

6.2.2 *Income and earnings disregards*

Benefit is granted for a period of 12 months (1.09 – 31.08), thus the right to benefit is tested once a year. From 1 May 2004 till 31 August 2005 – net income criteria per capita – PLN 504 (average monthly family net income per capita in 2002); from 1 September 2005 till 31 August 2006 – PLN 504 (net income per capita in 2004), in both periods in the case of families with disabled children – PLN 583.

6.3 *Tax treatment of benefit and interaction with other benefits*

Not taxable

6.4 *Treatment of particular groups*

No special rules.

7. **Childcare for pre-school children**

Nurseries are for taking care of children under 3 years old, nursery schools for children between 3 and 6 years old. Attending nursery schools(pre-primary education) is obligatory for 6-year-old children. Compulsory schooling generally starts at age of 7. Starting from September 1st 2012 there will be introduced six-year compulsory schooling. Since 2009 there is a pilot project (for 3 years) and parents can decide if they children start compulsory schooling at 6 or 7 age years old.

Fees are established by local government for public childcare institutions and in non-public institutions by the organizations that run the childcare. Local governments generally cover the cost of 5 hours of childcare a day (without board) in public nursery schools. Parents pay for additional hours and board. In non-public nursery schools and all nurseries parents have to pay childcare for the whole day.

Data on childcare in 2009 (as of 31 December 2009):

Children staying in nurseries per 1000 children up to age 3 – 17 children

⁷ In the case if the one of the child parents does not pay the maintenance.

Reference date for all information is **July 1st 2010**

Country chapter for OECD series *Benefits and Wages* (www.oecd.org/els/social/workincentives)

	Children in nurseries (as of 31 XII 2009)					
	total	At age of				
		0	1	2	3	4 and more
Total	31448	1923	10162	16178	3044	141
Public	30180	1859	9899	15531	2754	137
Non-public	1268	64	263	647	290	4

„Basic data on health care in 2009”, p. 188.

Children attending pre-primary education establishments per 1000 children									
Age:	1995/96	2000/01	2003/04	2004/05	2005/06	2006/07	2007/08	2008/09	2009/10
3-6	453	500	523	537	556	584	594	631	673
3-5	272	327	357	382	410	446	473	527	597
6	973	972	977	981	976	974	949	945	912

„Concise statistical yearbook of Poland 2007” p. 251, „Concise statistical yearbook of Poland 2008”, p. 249, „Concise statistical yearbook of Poland 2009”, p. 248, „Concise statistical yearbook of Poland 2010”, p. 254.

Children attending nursery schools per 1000 children										
Age:	1995/96	2000/01	2002/03	2003/04	2004/05	2005/06	2006/07	2007/08	2008/09	2009/10
3-6	356	388	394	404	416	433	458	479	505	526
6	633	595	577	577	566	555	552	561	542	513

“Statistical yearbook of the Republic of Poland 2006” Chapter XI Education Tabl. 40 (278), “Statistical yearbook of the Republic of Poland 2007” Chapter XI Education Tabl. 40 (277), “Statistical yearbook of the Republic of Poland 2008” Chapter XI Education Tabl. 41 (363), “Statistical yearbook of the Republic of Poland 2009” Chapter XI Education Tabl. 42 (372).

Children in pre-primary education establishments (as of September 2009)				
Total	At age of (year of birth)			
	2 (2007)	3-5 (2004-2006)	6 (2003)	7 and more (2002 or earlier)
994138	16269	649951	317423	10495

Children in nursery schools (as of September 2009)
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Total	At age of (year of birth)			
	2 (2007)	3-5 (2004-2006)	6 (2003)	7 and more (2002 or earlier)
776800	15891	577764	178827	4318

“Education in the school year 2009/2010” p. 153

7.1 *Out-of-pocket childcare fees paid by parents*

There is no information on average fees or on fees for nurseries. Information on fees is only available at the local level (gmina level). Fees for nursery schools consist of monthly fee (fixed on gmina level and established by local government) and payment for feeding (depends on institutions) There are no statistics on regional levels.

Examples* of fees for rural and rural/urban gminas in 2005 (voivodship level):

Voivodship	Fee for nursery school in 2005
Dolnośląskie	135,60 PLN
Śląskie	70,40 PLN
Łódzkie	133,50 PLN
Wielkopolskie	83,60 PLN
Lubuskie	128,00 PLN
Zachodnio-pomorskie	177,00 PLN
Pomorskie	100,00 PLN
Kujawsko-pomorskie	59,00 PLN
Warmińsko-mazurskie	150,40 PLN
Podlaskie	147,00 PLN
Lubelskie	112,00 PLN
Podkarpackie	101,00 PLN
Małopolskie	172,90 PLN
Świętokrzyskie	107,00 PLN
Mazowieckie	170,00 PLN
Opolskie	97,45 PLN

Examples* of fees for urban gminas in 2005 (voivodship level):

Voivodship	Fee for nursery school in 2005
Dolnośląskie	248,00 PLN

Reference date for all information is **July 1st 2010**

Country chapter for OECD series *Benefits and Wages* (www.oecd.org/els/social/workincentives)

Śląskie	186,34 PLN
Łódzkie	190,00 PLN
Wielkopolskie	250,00 PLN
Lubuskie	210,40 PLN
Zachodnio-pomorskie	278,00 PLN
Pomorskie	260,31 PLN
Kujawsko-pomorskie	191,40 PLN
Warmińsko-mazurskie	213,60 PLN
Podlaskie	185,00 PLN
Lubelskie	212,80 PLN
Podkarpackie	151,00 PLN
Małopolskie	211,88 PLN
Świętokrzyskie	169,00 PLN
Opolskie	206,24 PLN
Mazowieckie	238,90 PLN

- - examples are not representative of all nursery schools in specific voivodship, information was taken only from one unit (one for rural or rural/urban and one for urban gmina) of each voivodships

In the OECD calculations the fees for 2005 for urban gminas in the region of Mazowieckie, that includes the capital Warsaw and take into account information obtained from 32 childcare facilities out of 17229 ones that are in Poland, approximated with 2005-2010 changes in CPI are used. Anecdotal evidence suggest that fees in 2010 are close to double what they were in 2005.

7.2 *Child-care benefits*

See chapter 6

8. *Employment-conditional benefits*

None

9. *Lone-parent benefits*

See chapter 6

10. *Tax system*

10.1 *Income tax rate schedule*

Any individual resident in Poland or on a temporary stay longer than 183 days in a given tax year, is liable to tax on his/her worldwide income, irrespective of the source of that income.

10.1.1 Tax allowances and credits

Relief for work related expenses: standard deductions depend on the number of workplaces and on whether dwelling place and work place are within the same town/city or not.

Annual deductible amounts (in PLN)		
	one workplace	two/more workplaces
same as dwelling place	1335,00	2002,05
different from dwelling place	1668,72	2502,56

Source: www.mf.gov.pl

Basic relief: a non-refundable tax credit of PLN 556,02 is available for all taxpayers.

Relief for health insurance contributions: A tax credit is provided that almost equals health insurance contribution paid to the National Health Fund. The contribution is 9.0 per cent of the basis, tax relief is 7.75 per cent of the basis

In 2007, the new tax deduction was introduced for parents. Parents can deduct from their tax at most 1112,04 PLN in 2010) per each child. This applies to the income of 2010. This tax relief (tax deduction) is offered for parents paying income tax (farmers and some groups of small business owners are excluded). In the case of low income group e.g. unemployed persons (mother and/or father) receiving unemployed benefits are able to profit from the tax relief.

1. For unemployed parents the maximum yearly amount of the child relief is 307 PLN (apart of number of children in the family). The reason of the low rate is that the child relief in a Polish tax system is a deduction of the tax amount. The unemployed person with yearly income 7946 PLN has a low level of tax what makes very limited child relief at the same time.
2. For working parents with 'lower' wages e.g. receiving minimum wage the amount of child relief is limited. In the table 1. for one working parent the maximum child relief equals 471,19 PLN (apart of number of children in the family). The amount of child relief depends on the tax amount and in the case of yearly gross income 13512 PLN the yearly tax amount (after all other deductions) equals 471,19 PLN. Therefore there is no space for higher tax deduction also in the case of family with two or more children. The family can not gain of the maximum child relief because of the low income and simultaneously affects low tax amount and strictly limit the amount of child relief.

Table 1. Minimum wages and child relief

type of household	number of children	yearly minimum gross wages in PLN	yearly maximum amount of tax (child) relief in PLN
lone parent	1	15.804	557,92
married couple	2		

Reference date for all information is **July 1st 2010**

Country chapter for OECD series *Benefits and Wages* (www.oecd.org/els/social/workincentives)

	3		
	4		
married couple (working spouse) <i>both earnings on the level of minimum wage</i>	1 2 3 4	2*15.804 31.608	1115,85

The table 2. shows the link between gross earnings of parents and the amount of child relief (data 2008). E.g. lone parent with two children can reach the maximum amount of child relief only in the case of yearly earnings equal or higher than 40.440PLN.

Table 2. Relation between the gross earnings and tax (child) relief

type of household	number of children	yearly gross earnings in PLN (equal or higher than)	yearly maximum amount of tax (child) relief in PLN
lone parent*	1	27.870	1112,04
	2	40.440	2224,08
	3	53.000	3336,12
	4	65.590	4448,16
married couple <i>joint tax settlement</i>	1	27.870	1112,04
	2	40.440	2224,08
	3	53.000	3336,12
	4	65.590	4448,16
married couple (working spouse) <i>joint tax settlement</i>	1	30.581,00	1112,04
	2	43.174,00	2224,08
	3	55.735	3336,12
	4	68.300	4448,16

*joint tax settlement - parent together with a dependent child (children)

10.1.2 The definition of taxable income

Gross income minus social security (in case of workers) and the above tax allowances. Gross income is the sum of gross earned income and all benefits, whether cash or in kind (with the exception of family benefits, childcare benefits and social assistance benefits).

10.1.3 The tax schedule

Tax rate in 2010

Tax base in PLN		Tax amount
Over	Below	
-	85.528	18% of the tax base, less a basic tax credit of PLN 556,02
85 528		PLN 14.839,02 + 32% of surplus over PLN 85 528

Source: www.mf.gov.pl

10.2 Treatment of family income

The tax unit is the individual. Couples have the option to file a joint tax return. Couples have the right to two tax credits. The same case applies to single parents, when children have no own income.

10.3 Social security contribution schedule

Since 1st January 1999 social insurance contributions are paid by employer and employee. Social insurance contribution paid by **employee** covers in 2010:

Scheme	In per cent of wages before taxation
Retirement	9.76
Disability (1.5) and survivor (0,67%-3,60%)	
Sickness	2.45

Note: the contribution rate for disability and survivor insurance until June 2007 was 6.50 per cent of wage before taxation.

Furthermore, health insurance contribution is paid by employees as well. Rate of contribution is 9.0 per cent of wage after deducting social insurance contributions. A portion of health insurance contributions (7.75% of wage after deducting social insurance contribution) are tax deductible.

10.4 Treatment of particular group

10.4.1 Young persons

10.4.2 Older workers

10.4.3 Others if applicable

11. Part-time work

There are no special rules for part-time workers.

12. Policy developments

12.1 Policy changes introduced: 2nd July 2009 – 1st July 2010

- From 2008 onwards:
- Basic tax credit and tax credit for children decreased from PLN 586,85 to PLN 556,02 and from PLN 1173,70 to PLN 1112,04, respectively.
- Standard deductions for work-related expenses were increased.
- The first tax threshold was increased to PLN 85.528.
- Disability insurance contribution paid by employees and employers were decreased from 3.5 per cent to 1.5 percent and from 6.5 per cent to 4.5 per cent, respectively.
- Tax rates have been reduced for most taxpayers. The number of tax brackets has been limited, leaving only two brackets with rates of 18 per cent and 32 per cent. The tax threshold is set at the level PLN 85 528. The current income tax system is like a flat tax: about 99 per cent of all taxpayers earn income that is taxed in the first bracket at a tax rate of 18 per cent.
- Since the beginning of 2010 the level of unemployment benefit has been increased. It is now higher for the first three months of collection and after this time it decreases to the amount of benefit similar to that observed in previous years. See also Section 2.2.1.
-

12.2 Future policy changes announced since 1st July 2009

No final law, but government proposed (in force since by 1st January 2009):

- Longer maternity leaves
- Paternity leave (not transferable) for fathers (2 weeks)
- New regulations in area of child care, including financing childcare facilities development and maintenance by employers (from employers social fund); waiver from paying Labour Fund and Employee Benefit Guarantee Fund for parents returning from maternity and child-care leave, increased pension contributions paid from public funds for parents staying on the child-care leave.

Poland is the only country in the European Union which avoided the negative dynamics of the real GDP during the economic crisis.

Labour market

Poland is one of the few countries which resisted recession and where the consequences of the economic crisis are limited, at least at present, to a slight decline in employment and a relatively small growth of unemployment.

The two following acts counteract the economic slowdown in Poland in the field of the labour market:

- 1) **Act of 19 June 2009 on state aid for repayment of certain residential loans granted to persons who lost their jobs;** the Act entered into force on 5 August 2009; and

The act introduced a new type of housing/income support, i.e. a temporary repayment of mortgage loans (with a ceiling on the monthly instalment), targeted at those who become unemployed (and are eligible for the unemployment benefit). The support would be offered for a limited period of time (two years) and will have to be repaid in the future (however, at zero interest rates).

2) Act of 1 July 2009 on alleviating the consequences of the economic crisis for employees and entrepreneurs; the Act entered into force on 22 August 2009.

The Act introduced new labour market measures to provide support for short-time working and temporary lay-offs.

In the event of an employer suffering temporary financial problems, working time of employees may be reduced by up to 50% of normal working time for a period of up to 6 months. Employers can then apply for temporary state assistance covering part of the employees' remuneration.

Employers can also implement a temporary shut-down for a maximum of 6 months. Employees who agree to this move can then receive a benefit equivalent to the minimum wage which is financed partly by the employer and partly from public resources.

Additionally, if the employer has an established training fund, workers affected by reduced working time or temporary shut-down may participate in training during this period. In this situation, the employer can receive a reimbursement of the part of the training costs and a part of employees' remuneration in a form of a scholarship.

Social assistance

The current social assistance statistics do not include the data pointing to the impact of the financial and economic crisis on the scope of poverty and social exclusion.

The number of beneficiaries using family benefits has not increased significantly as a result of the financial and economic crisis. The crisis-induced increase in the number of beneficiaries in the new benefit period starting from 1 November 2009 is difficult to estimate due to the fact that there are two opposing tendencies in place at the time, namely, a decline in the number of beneficiaries due to the growth of incomes in 2008 and an increase in the number of beneficiaries as a result of unemployment growth in 2009.

Specific measures addressed to vulnerable groups - children, youth

Also, the 2010 budget act increased the amount of specific state budget reserve earmarked for implementation of a long-term "Government Food Aid Programme" by PLN 28 million (from PLN 522 million to PLN 550 million). Additionally, the 2008 amendment of the Act of 29 December 2005 establishing the long-term "Government Food Aid Programme" introduced the possibility to help hungry children and students by providing them with a meal without compulsory investigation into the situation of the family by way of a community interview. Work is currently underway on amending the Act of 29 December 2005 establishing the long-term "Government Food Aid Programme." It is planned to extend implementation of the Programme for 2010-2013 as well and outlays to finance the Programme in the period are to amount to at least PLN 3.1 billion.

As a result of statutory verification, family allowance due for children of all age groups increased by over 40% starting from 1 November 2009. Also the amount of attendance allowance to which parents of disabled children are eligible, increased by 23.81%.